

- *Bonds (20%)*

LTR = Merrill Lynch 7–10 year Government Bond Index (bonds)



Figure 6.2 The IVY 5 Concept

The summary effect of this portfolio is a 40 percent allocation to equity (20 percent domestic and 20 percent foreign), a 40 percent allocation to real assets (20 percent real estate and 20 percent commodities), and a 20 percent allocation to bonds. Although this portfolio construct might not be optimal, we'll follow the advice from David Swensen, arguably one of the greatest asset allocators of our time, and “stick to a simple diversified portfolio, keep our costs down, and rebalance periodically to keep your asset allocations in line with your long-term goals.”

Summary

[Chapter 6](#) began with some evidence demonstrating the fragile nature of complex asset allocation models. In investing, it is simplicity, and not complexity, that we should strive for. We reviewed the concept of diversification, and the Yale endowment's asset class mix, which appears complex but can be simplified into basic constituent asset classes available via publicly traded instruments. Additionally, the asset allocation decision itself can also be simplified. A study comparing allocation approaches found that a “naïve” $1/N$ strategy outperformed a range of more complex approaches. It would seem that this simplified rule can serve us quite well as an overarching asset allocation strategy.

Notes

- ¹ V. DeMiguel, L. Garlappi, and R. Uppal, “Optimal Versus Naïve Diversification: How Inefficient is the $1/N$ Portfolio Strategy?” *Review*